

This is to build up some intuition about option pricing and trading strategies. We will use the following notation:

- S_0 : Current stock price
- K : Strike price of option
- T : Time to expiration of option
- S_T : Stock price at maturity
- r : Continuously compounded risk-free rate of interest for an investment maturing in time T
- C : Value of American call option to buy one share
- P : Value of American put option to sell one share
- c : Value of European call option to buy one share
- p : Value of European put option to sell one share

1 Interesting Portfolios

Consider the following 4 portfolios for a non-dividend-paying stock

- Portfolio A: one European call option plus a mount of cash equal to Ke^{-rT}
- Portfolio B: one European put option plus one share
- Portfolio C: one share
- Portfolio D: an amount of cash equal to Ke^{-rt}

These 4 portfolios should be very reasonable and intuitive to think about. Portfolio A holds a call with potential cash to buy stock. Portfolio B holds a put with a share to potentially sell. Portfolio C holds a single share while portfolio D holds just cash. At time T , these 4 portfolios are:

- Portfolio A: if $S_T \leq K$, option worths nothing, the cash equals to K . if $S_T > K$, we exercise the option by using the cash that is equal to K to to buy one share which is valued at S_T . So the value of the portfolio is $\max(S_T, K)$
- Portfolio B: if $S_T \geq K$, option worths nothing, we have one share that is valued at S_T . if $S_T < K$, we exercise the option by selling the share at K and we hold cash equal to K at the end. So the value of the portfolio is $\max(S_T, K)$.
- Portfolio C: one share
- Portfolio D: an amount of cashe equal to K

This can be summarized as the following table content:

Portfolio	t=0	t=T	Note
1	$c + Ke^{-rT}$	$\max(S_T, K)$	covered call
2	$p + S_0$	$\max(S_T, K)$	protected put
3	S_0	S_T	underlying stock
4	Ke^{-rT}	K	cash

2 Basic Boundaries

- American options are more valuable than European options: $C \geq c, P \geq p$
- call options can't be worth more than the stock: $C \leq S_0, c \leq S_0$
- put options gives the right to sell one share for K , so it can't be worth more than K : $p \leq K, P \leq K$

2.1 Boundaries for European call options

Consider Portfolio 1 and 3. At time T , you can observe that the value of Portfolio 1 always worth as much as, and can be worth more than Portfolio 3. *It follows that in the absence of arbitrage opportunities this must also be true today.* Hence,

$$c + Ke^{-rT} \geq S_0$$

Combine with the fact that option price needs to be positive and the boundary established above, we have:

$$\max(S_0 - Ke^{-rT}, 0) \leq c \leq S_0$$

2.2 Boundaries for European put options

Consider Portfolio 2 and 4. At time T , you can observe that the value of Portfolio 2 always worth as much as, and can be worth more than Portfolio 3. *It follows that in the absence of arbitrage opportunities this must also be true today.* Hence,

$$p + S_0 \geq Ke^{-rT}$$

Combine with the fact that option price needs to be positive and the boundary established earlier, we have:

$$\max(Ke^{-rT} - S_0, 0) \leq p \leq Ke^{-rT}$$

3 Pull-Call Partity